A One-Off Moderate Wealth Tax

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While the EU looks for new own resources to repay the debt contracted during Covid, this appendix argues that wealth taxation can work if designed well. The proposal deliberately avoids the pitfalls that have historically undermined recurrent wealth taxes. It is a *one-off* levy, assessed on the net wealth each resident holds on a single past reference date (1 January 2027), and paid over thirty years at low annual rates. In the Central scenario, yearly marginal rates are 0.1% on wealth between EUR 1 and 10 million, 0.3% between EUR 10 and 100 million, and 0.5% above EUR 100 million. We also present an alternative scenario where the tax only applies above EUR 100 million.

Because the base is fixed in the past, the levy is a lump sum in the economic sense: no decision taken after 2026, whether to invest, to found a company or to emigrate, can change what is owed, so the tax does not distort future accumulation and activity. The low annual rates keep the tax non-confiscatory and comfortably within constitutional bounds. Liquidity is addressed head-on: payment is reduced if a taxpayer's wealth drops and the taxpayer may pay in company shares. Finally, a Deferral Account secures the claim against emigration and death.

Built this way, the tax would raise about EUR 26 billion a year, close to EUR 790 billion (that is 4.5% of EU GDP) over the thirty-year horizon. The proposal adopts the low-rate one-off logic of Pisani-Ferry & Mahfouz (2023), who recommended an exceptional levy of 5% of GDP spread over thirty years to finance the climate transition. Besides, it adapts the deferral and one-off mechanisms designed for the Californian 2026 Billionaire Tax Act initiative (Proponents of California Initiative 25-0024, 2025).

The instrument rests on solid economic foundations. Farhi (2010) shows that a one-off capital levy is the efficient response to a negative fiscal shock, precisely the case created by the pandemic-era debt, the security build-up and the financing of the transition. Progressive wealth taxation is independently justified on distributive grounds: Saez & Zucman (2019) argue that it is the most appropriate tool for restoring progressivity at the very top, since the ultra-wealthy report little taxable income.

The tax revenue could simply be paid into the EU budget as an own resource, or used to repay the common debt, and we show that it works well on those terms. Alternatively to this default revenue use, we also argue for another strategic use. Rather than shrink the Union's balance sheet by repaying the debt, the proceeds could endow a European sovereign fund, at a time when major investments are needed for the ecological transition and for competitiveness.

The combination of low annual rates, deferral, payment in kind and asset-backed recovery is what makes the tax simultaneously enforceable, non-distortive and respectful of taxpayers' liquidity constraints and asset control. We believe such a tax can actually be adopted. It does not interact with the taxes Member States already levy; it raises real revenue; it is constitutional in every EU jurisdiction; it rests on solid economic and democratic foundations; and it is increasingly on the political agenda.

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The remainder covers the proposal (Section 1), revenue estimates (2), the case that the tax can fly (3), responses to objections (4), the sovereign-fund option (5) and variants (6).

1 Proposal

1.1 A one-off tax, payable over thirty years

We propose a one-off tax on individual net wealth, assessed on the wealth each resident holds on 1 January 2027.[1] The tax is strictly individual: wealth is attributed to natural persons, with couples assessed on their respective shares, so as to avoid the marriage penalties and avoidance opportunities associated with household-level assessment.

The headline schedule is a one-off liability levied at the following marginal rates: 3% on the fraction of individual wealth between EUR 1 and 10 million, 9% on the fraction between EUR 10 and 100 million, and 15% on wealth above EUR 100 million. This liability is not due immediately. It is spread over thirty years, so that in any given year the taxpayer owes one thirtieth of the total: the annual tax schedule is 0.1% on wealth between EUR 1 and 10 million, 0.3% between EUR 10 and 100 million, and 0.5% above EUR 100 million. These annual rates are deliberately calibrated well below the return on capital, so that the tax can in principle be paid out of the income the wealth generates, leaving the principal intact.

The one-off character is the central design choice. A permanent wealth tax changes the incentive to accumulate, to invest and to remain resident on an ongoing basis; the empirical literature finds that such taxes can generate behavioural responses, from portfolio reshuffling to migration (Brülhart et al., 2022; Durán-Cabré et al., 2019). A one-off tax assessed on a past reference date is, by construction, a lump-sum tax: it does not distort decisions taken after the reference date, because no future choice can change the liability. This is the classical efficiency argument for capital levies, and it is the reason Pisani-Ferry & Mahfouz (2023) and the Californian initiative favoured an exceptional rather than a recurrent instrument.

1.2 Payment, deferral and the annual minimum

Each year, the taxpayer must pay the *smaller* of two amounts: (i) one thirtieth of their initial liability, indexed to inflation and increased by a deferral charge; or (ii) the annual schedule (0.1% / 0.3% / 0.5%) applied to their *current* wealth. The second option protects taxpayers whose wealth has fallen: someone who has become poorer since 2027 pays less, in line with their ability to pay. The tax ceases to be owed after thirty years of payment, or earlier if the taxpayer settles their remaining liability in full.

The deferral charge is set at a level that makes postponing payment equivalent for the taxpayer to paying upfront. Hence, the deferral charge reflects the return the taxpayer earns on their wealth. We set it at 3% per year for the tax due for wealth below EUR 10 million, 5% between EUR 10 million and 100 million, and 7% above EUR 100 million. These figures are aligned with the empirically documented increasing returns to wealth: larger portfolios earn systematically higher average returns (Chancel et al., 2022). Aligning the charge with the return on capital ensures that deferral is neither confiscatory nor a subsidy to the wealthy,

[1] It is important to choose an evaluation date anterior to the announcement of the reform, so that taxpayers do not have the time to relocate (note however that preemptive relocation for tax avoidance purposes does not lift the tax liability but may induce costly and uncertain litigation with the tax authorities, cf. the principal purpose test of Article 29(9) of OECD, 2019). Retroactivity is permitted in tax design provided it is justified and the date is not too distant in the past. The Californian 2026 Billionaire Tax Act initiative uses a similar approach, with a date ten months before the referendum but two months after the announcement, which still allowed some billionaires to relocate.

and removes the incentive to game the timing of payments.[2] This system allows smoothing the wealth transfer over thirty years.

1.3 Payment in kind

Liquidity constraint is the objection most often raised against wealth taxes: a taxpayer may be rich on paper yet hold most of their wealth in illiquid form, such as a stake in an unlisted company, real estate or an art collection, that generates little cash, so that a tax payable in cash could force them to sell assets, sometimes at a discount.

The proposal neutralises it through a graduated set of payment options. First, the administration accepts payment in non-cash liquid assets, in particular shares in listed companies, valued at market price on the day of transfer. A taxpayer whose wealth consists mainly of a quoted equity stake can therefore discharge the tax without selling on the market and without any cash outlay. Second, on a case-by-case basis, the administration may accept payment in illiquid assets, such as shares in non-listed companies, to the extent that the taxpayer's liability exceeds their liquid assets. These in-kind payments mirror the logic of the Californian initiative, which allows liquidity-constrained taxpayers holding designated highly illiquid assets (typically start-up equity) to attach a claim to those assets rather than face an immediate cash assessment (Proponents of California Initiative 25-0024, 2025). In-kind payments already exist under some circumstances: for example, countries such as France, Germany, the UK, Spain, Italy, or the Netherlands all accept non-monetary assets such as artworks to pay the inheritance tax.

Payment in shares has an important corollary for the objection that a wealth tax penalises young, capital-intensive firms relative to established ones. Because the founder of a start-up can hand over a fraction of their shares rather than cash, the tax does not force the sale of the company and it does not require the firm to distribute dividends it cannot afford. To guarantee that taxpayers keep control over their companies, the administration may accept payment in non-voting shares in cases where the tax would make their stake cross the 50% majority threshold (say from 50.1% to 49.8%).

1.4 Deferral Accounts

The system of Deferral Accounts is directly adapted from the Californian 2026 Billionaire Tax Act initiative (Proponents of California Initiative 25-0024, 2025). Unless they settle their entire liability in the first year, taxpayers must open a Deferral Account (DA): a mortgage with the State to which they attach assets of sufficient value to cover the tax liability. The DA has two functions. It secures the State's claim: the outstanding liability is recovered when the taxpayer dies or moves their tax residence outside the EU, whichever comes first, and the account is closed only once the tax has been paid in full. It supports the payment-in-kind mechanism, since attached assets can be transferred to the tax authority to discharge the liability.

A missing payment triggers a penalty equal to inflation plus 10% per year on the overdue amount. This penalty accrues within the DA and is ultimately recovered when the attached assets are sold or generate dividends, so that non-payment is costly but never forces an immediate ownership transfer. The combination

[2]Take the example of a taxpayer with a wealth of EUR 10 million in 2027, and assume they have 3% returns on their wealth and that there is no inflation. The taxpayer's initial tax liability is $3\% \cdot (10 - 1) = 0.27$M EUR. In 2027, if the taxpayer has only paid their annual tax minimum in 2027 (one thirtieth of 270k EUR, that is 9,000 EUR) and not the full tax liability, the taxpayer's expected wealth is $(10,000,000 - 9,000) \cdot (1 + 3\%) = 10,290,730$ EUR. Their 2027 tax liability is their initial tax liability inflated by the deferral charge minus what they already paid, that is $(270,000 - 9,000) \cdot (1 + 3\%) = 268,830$k EUR. Their 2027 wealth minus their remaining liability ($10,290,730 - 268,830 = 10,021,900$ EUR) exactly corresponds to the expected wealth following payment of the full liability in 2027: $(10,000,000 - 270,000) \cdot (1 + 3\%)$. Therefore, with a real return of 3%, the taxpayer is indifferent between paying the entire liability upfront or spreading the tax payment over thirty years.

of low annual rates, deferral, payment in kind and asset-backed recovery is what makes the tax simultaneously enforceable, non-distortive and respectful of taxpayers' liquidity constraints and asset control.

2 Revenue estimates

2.1 Method and assumptions

Revenue is estimated by microsimulation on the 2023 wealth distributions of the World Inequality Database (WID).[3] Two successive haircuts are applied to the base throughout: 15% for asset-price depreciation and a further 15% for evasion and valuation discounts.

Table 1.1's revenue figures are those of the proposed tax's three marginal bands. Column a is the 0.1% levied on the slice of wealth between EUR 1 and 10 million; column b the 0.3% on the slice between EUR 10 and 100 million; and column c the 0.5% on all wealth above EUR 100 million. The central scenario is the sum of these three bands, $a + b + c$ (also shown as a share of 2023 GDP). Column d reports a separate band that does not belong to the central schedule: a 2% rate on wealth above EUR 1 billion, used only to illustrate a top-heavy variant that would use 2% as the marginal rate on billionaire wealth, so that the top-heavy figure is $c + \frac{3}{4}d$. All figures are in EUR million per year.

2.2 Results

The central scenario, which combines the three low brackets, raises about EUR 26 billion per year for the EU, or close to EUR 790 billion over the thirty-year horizon. This represents 4.5% of EU GDP, in the range of the 5%-of-GDP benchmark independently proposed by Pisani-Ferry & Mahfouz (2023) to finance the energy transition, and about twice the EU's common (NextGenerationEU) debt. As an own resource, the proceeds would relieve the GNI-based contributions Member States pay into the EU budget.

These estimates are deliberately conservative for two reasons. They cut the base by two successive 15% haircuts, both generous. The 15% allowance for evasion and valuation discounts sits well above the leakage a well-enforced one-off levy should suffer: Seim (2017) finds that the taxable base contracts by at most 1% in the short run, and Advani & Tarrant (2021) put the medium-run figure at less than 10% for a 0.5% wealth tax. The 15% allowance for depreciation is also cautious, and compounded by our use of 2023 wealth data. Indeed, the tax would be assessed on wealth held on 1 January 2027:[4] since asset prices have risen since 2023, the true 2027 base, and hence the revenue, would be larger.

[3] For most Member States, we use the tabulation that underlies the WID Wealth Tax Simulator, which reports, for a grid of euro thresholds, the total net wealth and the number of adults above each threshold. This dataset is the most adequate source for two reasons: its grid already includes the statutory cut-offs (EUR 1, 10, 100 million and 1 billion), so each bracket's base can be read off directly; and it smooths the top tail, so it resolves the extreme fortunes on which the upper brackets depend. The eleven smaller Member States that the simulator omits are completed from the raw WID distributional-national-accounts data, which report the average wealth within each of 127 population brackets, up to the top 0.001%. Applying the schedule to those bracket averages reproduces the lower brackets well but resolves the very top less finely. Because these states are small (their combined contribution is about EUR 0.6 billion), this has no material effect on the EU total.

[4] Germany prohibits retroactivity (*echte Rückwirkung*), so the assessment date should not precede announcement.

Table 1.1: Estimated revenue of a one-off wealth tax in the first year, by EU Member State (EUR million per year) The GDP column reports annual central revenue as a share of GDP.

Country	a 0.1% on 1–10M	b 0.3% on 10–100M	c 0.5% >100M	Central $(a+b+c)$	Central % GDP	d 2% >1 bn	Top $(c+\frac{3}{4}d)$
Germany	3,050	2,702	2,592	8,344	0.20%	4,963	6,315
France	1,994	1,378	3,298	6,670	0.24%	8,812	9,907
Italy	1,177	448	994	2,618	0.13%	1,327	1,989
Spain	851	434	866	2,151	0.14%	1,409	1,923
Austria	296	287	337	920	0.19%	841	967
Netherlands	585	109	220	913	0.09%	182	356
Belgium	500	37	186	722	0.12%	527	581
Sweden	260	140	312	712	0.14%	829	934
Poland	169	196	196	560	0.08%	170	323
Denmark	199	145	188	533	0.14%	441	519
Czechia	74	44	230	348	0.11%	489	597
Ireland	247	14	70	331	0.06%	69	122
Portugal	187	109	35	330	0.12%	48	70
Luxembourg	56	37	115	208	0.25%	305	343
Hungary	53	62	93	208	0.10%	8	99
Finland	58	12	82	152	0.05%	84	145
Romania	39	37	46	121	0.03%	20	61
Greece	64	17	36	118	0.05%	0	36
Slovenia	18	18	38	75	0.11%	0	38
Cyprus	11	2	33	46	0.14%	0	33
Bulgaria	13	14	13	40	0.04%	0	13
Croatia	18	12	6	36	0.05%	0	6
Lithuania	14	10	7	31	0.04%	0	7
Estonia	14	9	6	29	0.08%	0	6
Latvia	9	8	3	20	0.05%	0	3
Slovakia	12	7	0	19	0.02%	0	0
Malta	9	0	0	9	0.04%	0	0
EU-27 total	**9,978**	**6,287**	**10,000**	**26,264**	**0.15%**	**20,525**	**25,394**

3 Why this wealth tax can fly

Having shown that a one-off wealth tax, correctly designed, raises interesting amounts, we now set out why we believe it can actually be adopted. The EU level is more suited than the national one; it does not interact with the taxes Member States already levy; it raises real revenue; it is constitutional in every EU jurisdiction; it rests on solid economic and democratic foundations; and it is increasingly on the political

agenda.

3.1 Suitability of the EU level

A one-off wealth tax is more efficient levied by the Union than by Member States acting separately. Two arguments support this. First, EU law makes it hard for a Member State to secure its tax base against a taxpayer who leaves for another Member State, while the single market makes leaving nearly costless. Second, it is ill-suited to treat a billionaire's fortune as belonging to the country where its owner happens to reside, since that fortune is generated by the worldwide activities of the firms they own.

The instrument a State would use to secure a wealth-tax claim against emigration is an exit tax. Between two Member States, that instrument is tightly constrained by the fundamental freedoms, and the case law has narrowed it steadily. In *de Lasteyrie du Saillant* (CJEU, 2004) the EU Court of Justice struck down the French exit tax on latent gains as a restriction on the freedom of establishment, and held disproportionate the conditioning of deferral on the provision of guarantees or the appointment of a tax representative; the CJEU (2006) later confirmed that deferral must be granted without security. In *Commission vs. Portugal* (CJEU, 2016) the Court applied the same reasoning to individuals transferring their residence, finding an unjustified restriction on the free movement of persons and on the freedom of establishment. Germany, which in 2022 replaced its open-ended interest-free deferral for departures within the EU and EEA by a seven-year instalment scheme, is widely thought to have fallen on the wrong side of that line, and the question is now before the Court on a Polish reference (CJEU, 2025).

Once the taxpayer has gone, collection depends on the assistance of the new State of residence under the mutual recovery directive (Council of the European Union, 2010), whose enforcement record is modest.

Departure, meanwhile, is nearly frictionless. Free movement of persons and of capital means that residence and portfolios can be shifted between Member States without exchange controls or administrative hurdles, and several Member States actively bid for wealthy newcomers: Italy offers new residents a substitutive flat charge on all foreign-source income (raised from EUR 100,000 to EUR 200,000 a year in 2024) and Greece a comparable EUR 100,000 lump sum for up to fifteen years. A Member State levying our tax alone would face both this competition and the legal challenges of charging those who respond to it.

Levying the tax at Union level dissolves the problem. Moving from one Member State to another changes nothing: there is no exit, and therefore no restriction to justify. Only departure from the Union crystallises the Deferral Account (Section 4), and there the constraints are far weaker: the freedom of establishment and the free movement of persons do not extend to third countries. The border that has to be policed is the Union's, which far fewer people cross, and which the Union itself is competent to police.

The second argument is one of principle. The fortunes this levy reaches consist overwhelmingly of stakes in companies whose value is produced across the single market and beyond it. Those firms owe their profits and their valuations to the size of the markets they serve, to free capital movement and to the cross-border enforcement of property rights, all of them Union-wide public goods rather than national ones (Zucman, 2024). Attributing the whole of such a fortune to the tax jurisdiction where its owner sleeps is therefore arbitrary, and doubly so once holding structures are taken into account: it hands windfalls to the small Member States that host them and nothing to the countries where the value was actually created. If the base is European in origin, the natural claimant is the European budget.

3.2 Additionality from existing taxes

The proposed levy would be *additional* to, not a substitute for, the taxes Member States already apply to wealth. Within the EU only Spain still operates a comprehensive recurrent net-wealth tax, and the low rates proposed here pose no problem to make the tax additional in Spain. The few other national instruments are narrow. Crucially, all of them share a feature that the present proposal deliberately avoids: they largely spare the business assets that make up the bulk of very large fortunes, so the overlap with our levy is small.

Spain is the leading case. Its recurrent wealth tax is regionally administered, and several regions (notably Madrid and Andalusia) had granted 100% relief until the central government introduced, in 2022, a Solidarity Tax on Large Fortunes (ITSGF) to reclaim that base, with marginal rates of 1.7% above EUR 3 million up to 3.5% above 11 million. Yet the Spanish tax exempts business assets: shares held by owner-managers who hold a qualifying stake, play a managerial role and draw most of their income from the firm are relieved, and the primary residence is partly exempt. On top of this, a cap limits the combined income-and-wealth-tax bill to 60% of taxable income; but the resulting relief may not exceed 80% of the wealth-tax liability, so that at least 20% of it is always due (Article 31 of Law 19/1991). In practice this floor caps the effective wealth-tax rate of the asset-rich but income-poor at one fifth of the statutory rate, about 0.7% rather than the headline 3.5%. Together these carve-outs and caps let the very wealthiest largely escape the tax, and avoidance responses to it are well documented (Directorate-General for Taxation and Customs Union (European Commission), 2026).

France abolished its general wealth tax (ISF) in 2018 and replaced it with a narrow tax on real-estate wealth (IFI), at 0.5%–1.5% on net property above EUR 1.3 million, leaving financial and business wealth untaxed.

The Netherlands has no more net-wealth tax: its "Box 3" regime taxed a notional return on savings and investments within the income tax, an approach the Supreme Court struck down in 2021 and again in 2024 (Section 3.4). From 2027 it is to be replaced by the Box 3 Actual Return Act, which taxes the *real* return on wealth: an annual mark-to-market (accrual) tax on the change in value of most assets and debts, combined with a realisation-based capital-gains tax on real estate and on shares in start-ups. This remains a tax on the return to wealth, not on the wealth stock itself, and so leaves the base our levy targets untouched.

Belgium levies a 0.15% annual tax on securities accounts worth at least EUR 1 million, a narrow charge that reaches listed portfolios but not directly held business stakes.

The proposed levy is therefore complementary rather than duplicative. Because it is one-off, values assets at market and grants *no* business-asset exemption, it falls, for very-high-net-worth individuals, precisely on the unlisted-company and financial holdings that the national taxes spare, while adding only 0.1% per year at the bottom of the schedule (above EUR 1 million). Where a taxpayer is simultaneously liable to a national recurrent wealth tax (the Spanish solidarity tax or the French IFI), the proposal treats them as cumulative, since even in the most heavily taxed cases the combined annual burden stays below the return on capital and therefore within the bounds courts have treated as non-confiscatory (Section 3.4).

3.3 Revenue raising

At about EUR 26 billion a year (Section 2), the central scenario raises as much as, or more than, the old national wealth taxes did, despite markedly lower rates, because it corrects their design defects (Section 4). As a genuine own resource, it would reduce the GNI-based contributions Member States pay into the EU budget. This is the property the Council is looking for in a new own resource: a base that is concentrated

and additional to what Member States already tax.

3.4 Constitutionality

Wealth taxation is not unconstitutional as such in any EU jurisdiction. The concern that can make a wealth tax fall foul of a constitution is that it becomes confiscatory, taking so large a share of asset returns that it amounts to an expropriation rather than a tax. Low rates dispose of that concern: an annual charge of at most 0.5% of wealth, only a fraction of the normal return on capital, leaves the principal intact and stays far from any confiscation threshold. The history of national wealth taxes, reviewed below, confirms that they were struck down or abandoned for specific, avoidable defects, unequal valuation, taxation of a fictitious return, or genuinely confiscatory rates, and never because taxing wealth is inherently impermissible.

Germany. The Federal Constitutional Court suspended the wealth tax in its 1995 decision (2 BvL 37/91) not because wealth taxation is inherently unconstitutional, but because real estate was valued far below market while financial assets were valued at market, violating the equality principle of the Basic Law (Bundesverfassungsgericht, 1995). The same decision advanced the *Halbteilungsgrundsatz*: the legal principle that wealth and income tax combined should not take away more than roughly half of the potential return of the taxed assets. Two points defuse this. First, the Court itself, in a later ruling, held the *Halbteilungsgrundsatz* not to be legally binding (Directorate-General for Taxation and Customs Union (European Commission), 2026). Second, the proposed tax would satisfy it in any case: an annual charge of at most 0.5% of wealth is only a small fraction, of the order of a tenth of the normal return on capital, so that even added to income tax the combined burden stays far below half of that return. A uniformly market-valued, low-rate one-off tax thus avoids both defects that felled the German tax.

Spain. The Constitutional Court *upheld* the central solidarity wealth tax in December 2023 against challenges from several regions, confirming that a wealth tax is compatible with the Spanish constitution (Tribunal Constitucional de España, 2023).

The Netherlands. The Netherlands abolished its genuine net-wealth tax in 2001 for practical, not legal, reasons: the old tax was widely avoided or evaded and raised little. The wealth tax was folded into the income tax as "Box 3", which taxes a *notional* (assumed) return rather than actual wealth or actual income, a design chosen for administrative simplicity, not because taxing wealth was thought unconstitutional. It is precisely the taxation of a *fictitious* return that the Supreme Court struck down, in the 2021 "Christmas Judgment" and again in 2024, as an infringement of the right to property and the prohibition of discrimination under the European Convention on Human Rights (Hoge Raad der Nederlanden, 2021). The Netherlands is now moving to a tax on *actual* returns from 2027. A charge levied on *actual* wealth, with an ability-to-pay safeguard, does not share this flaw; if anything the Dutch saga shows that taxing real wealth is on firmer legal ground than taxing an imputed one.

France. The Conseil constitutionnel has repeatedly upheld wealth taxation (the ISF and later the IFI), on the condition that the burden not become confiscatory, which for a holding tax may require an income-based cap only when the rate is high (Conseil constitutionnel, 2012; Conseil des prélèvements obligatoires, 2018). The threshold is telling: in the ISF case-law a rate of 0.5% was validated without any cap, whereas a rate of 1.8% required one (Conseil des prélèvements obligatoires, 2018). The maximum annual rate proposed

here is 0.5%, the very level the Conseil accepted with no cap, so the French standard is comfortably met. It is worth noting that the Conseil constitutionnel also judged that ability to pay may be assessed on wealth ownership rather than income flows (QPC Decisions n° 2010-44, n° 2012-662, n° 2013-684, n° 2019-769), confirming the legitimacy of a wealth tax. Besides, France (but also Austria, Belgium, Denmark, Finland, West Germany, Japan, Luxembourg, the Netherlands and Norway) has already establisehd a one-off wealth tax (with a 20% top rate) for post-war reconstruction (O'Donovan, 2021), using the same tax base as for the inheritance tax.[5]

Austria. Austria abolished its wealth tax with effect from 1994 by legislation, not by any court, and for reasons of design rather than principle: low and declining revenue due to generous exemptions and widespread evasion, a burden falling largely on corporations, and the unequal treatment of assets, notably grossly under-valued real estate (the same defect that later led the Constitutional Court to strike down the Austrian inheritance tax) (Directorate-General for Taxation and Customs Union (European Commission), 2026).

However, one genuine legal obstacle is specific to Austria: Article 1(1)(2) of the constitutionally entrenched Final Taxation Act (*Endbesteuerungsgesetz*) bars any wealth tax on bank deposits and domestically issued bonds. Overcoming it would require either amending that constitutional law by a two-thirds majority, or granting Member States the option to exempt those asset classes, which in any case make up only a small share of large fortunes.

The recurring constitutional theme across jurisdictions is that wealth taxes fail when they value assets unequally, tax fictitious returns, or become confiscatory, never simply because they tax wealth. The present design is built to avoid all three failure modes.

3.5 Solid economic justification

The instrument rests on solid economic foundations. Farhi (2010) shows that a one-off capital levy is the efficient response to a negative fiscal shock, precisely the case created by the pandemic-era debt, the security build-up and the financing of the transition. Because the base is a past stock, the levy raises revenue without blunting the incentive to work, save or invest after 2027, the classical efficiency property of a lump-sum tax. Progressive wealth taxation is independently justified on distributive grounds: Saez & Zucman (2019) argue that it is the most appropriate tool for restoring progressivity at the very top, since the ultra-wealthy report little taxable income.

The design also has concrete precedents. It adapts the deferral and one-off mechanism of the Californian 2026 Billionaire Tax Act initiative (Proponents of California Initiative 25-0024, 2025), which let liquidity-constrained taxpayers attach a claim to designated illiquid assets rather than face an immediate cash assessment, and it adopts the low-rate one-off logic of Pisani-Ferry & Mahfouz (2023), who recommended an exceptional levy of 5% of GDP spread over thirty years to finance the climate transition. These are not speculative constructs but instruments that leading economists have already drafted and defended.

3.6 Democratic appeal

Beyond efficiency, the tax answers a democratic demand. Eurobarometer surveys show that 67% of Europeans agree than "an important task of the government is to tax the rich in order to support the poor".

[5] Cf. Ordonnance n° 45-1820 du 15 août 1945.

Furthermore, 85% of Western Europeans accept an unspecified tax on millionaires (Fabre et al., 2025) and 72% of Europeans (from seven different countries) are in favor of a 2% tax on wealth above EUR 1 million even if 30% of the revenue were channeled to foreign, low-income countries (Fabre, 2025). A European wealth tax is also a matter of basic fairness: large fortunes are today taxed at effective rates well below those borne by ordinary households (Zucman, 2024), and a levy that reaches the stock of wealth restores the progressivity that income taxes alone can no longer deliver at the top. Finally, the extreme concentration of wealth is itself a concern for democracy, since it concentrates economic and political power; a modest, broadly supported levy that returns part of that wealth to the common budget strengthens rather than threatens democratic legitimacy.

3.7 Suitability with the political debates

Taxing large fortunes in a coordinated way is no longer a marginal idea. At the request of the Brazilian G20 presidency, Zucman (2024) presented to the July 2024 Rio meeting of G20 finance ministers a blueprint for a coordinated minimum tax on ultra-high-net-worth individuals, under which billionaires would pay at least 2% of their wealth each year.[6] Several governments, including Brazil, South Africa, France and Spain, have supported the coordinated approach. Spain, the only Member State still operating a net-wealth tax (which raised about EUR 2.2 billion in 2023), has been its most consistent EU advocate.

At European level, the instrument is now under serious institutional consideration. The European Commission has commissioned a study on the effectiveness of wealth-related taxes targeting ultra-high-net-worth individuals across EU and non-EU countries, and the European Parliament's Subcommittee on Tax Matters (FISC) held a public hearing on the taxation of ultra-high-net-worth individuals in December 2025. A one-off EU levy of the kind proposed here offers a concrete, legally robust way to act on this momentum.

4 Responses to main objections

4.1 Expatriation

The objection most often raised against wealth taxes is that the wealthy will simply leave. This concern is real for a recurrent tax, but it has little force against a one-off levy assessed on residence at a fixed past date. Because the liability is fixed by where a taxpayer lived on 1 January 2027, no later move can change what is owed. Emigration therefore cannot erase the tax, only the ease of collecting it, and that is what the Deferral Account is designed to secure. The outstanding balance is attached to assets and crystallises when the taxpayer dies or transfers their tax residence outside the EU, so that leaving triggers, rather than avoids, payment. This is the same logic as an exit tax, applied to a liability that was already fixed before any departure.

4.2 Liquidity

Another common objection is that wealthy taxpayers, though rich on paper, may lack the cash to pay. The design answers this on two levels: the annual rate is low (at most 0.5% of wealth, payable out of normal

[6]The G20 Rio de Janeiro Ministerial Declaration on International Tax Cooperation (July 2024) committed member states, "with full respect to tax sovereignty", to "seek to engage cooperatively to ensure that ultra-high-net-worth individuals are effectively taxed", through the exchange of best practices, debate on tax principles and the design of anti-avoidance mechanisms; the commitment was reaffirmed in the leaders' declaration of November 2024.

capital income rather than principal), and payment can be made in listed shares or, in genuinely illiquid cases, in kind, so that no market sale or cash outlay is required.

4.3 Reduced investment and production

A wealth tax could in principle reduce private investment by lowering the after-tax return to capital, eventually lowering GDP. However, the concern of deterring investments due to lower returns does not apply here since the tax is one-off and backward-looking, so it does not alter the marginal return on any investment decided after 2027.

The claim that wealth taxes deter entrepreneurship applies to *recurrent* taxes that repeatedly claw back the fruits of success. It does not apply to a one-off tax on a past stock. An entrepreneur contemplating a new venture in 2027 faces no wealth-tax consequence from success, because the reference date has passed. The incentive to create, take risks and build is therefore left intact, which is precisely why Pisani-Ferry & Mahfouz (2023) and the classical public-finance literature on capital levies favour exceptional over permanent instruments.

Another concern is that investment would be reduced since taxation would divert resources from productive investments into public consumption. While this view should be softened by three facts. First, corporate investments can generally be funded with bank loans if retained earnings or equity become less available. Second, most of the EU budget actually fosters production rather than merely consuming it (think of the Cohesion Fund, the European Regional Development Fund, or research funding). Third, the companies owned by taxpayers are unlikely to invest less, and earmarking wealth tax revenues to a sovereign wealth fund would even increase aggregate investment (Section 5).

4.4 Valuation

A recurring objection is that wealth is hard to value, especially unlisted businesses, real estate and art. The one-off design blunts this objection at the root: because the tax is assessed on a single reference date, assets need to be valued only once, exactly as they already are at death for inheritance tax, rather than re-valued every year. The recurring administrative cost that weighs on permanent wealth taxes therefore does not arise.

The experience of countries that value wealth annually shows the task is feasible but must be done at market value. Norway, which has levied a net-wealth tax without interruption since 1892, values listed shares at market, primary dwellings by hedonic pricing and other real estate by construction cost, and unlisted firms at their book value excluding intangible assets (Directorate-General for Taxation and Customs Union (European Commission), 2026). That last convention systematically under-values young, intangible-intensive companies, the very firms whose value lies in their brand, technology or growth prospects, so Norway's base is, if anything, too generous to business owners: the market value of unlisted firms is estimated at about 1.9 times their tax value (Andresen & Bø, 2022; Grindaker & Vestad, 2025). We therefore assess all assets at fair market value.

4.5 The low yield of past wealth taxes

Skeptics point out that recurrent wealth taxes have historically raised little, around 0.2% of GDP in France (ISF) and Spain, and roughly 0.1% in the former German and Austrian taxes (Directorate-General for Taxation and Customs Union (European Commission), 2026). This is a critique of how those taxes were de-

signed, not of wealth taxation as such. Their yield was hollowed out by three features that the present proposal rejects. First, generous exemptions for business assets, which de facto exempted billionaires. Second, income-based caps: for instance, France's cap let the billionaires be taxed at an effective rate of less than 0.1% (Directorate-General for Taxation and Customs Union (European Commission), 2026). Third, annual assessment on a mobile base, which invited migration and avoidance year after year. Our levy grants no business-asset exemption, has no income cap (it is instead capped by an ability-to-pay ceiling on *current wealth*), and is assessed once on a past stock that cannot emigrate. It is precisely because it corrects these three defects that it raises as much revenue as old taxes did despite significantly lower tax rates.

5 A strategic use: a European sovereign fund

5.1 Rationale

Everything above establishes that the levy works as an own resource: its proceeds could be paid into the EU budget, relieving Member States' contributions, or used to repay the common NGEU debt. But there is an alternative way to deal with the debt-reimbursement problem. Rather than shrink the Union's balance sheet by repaying the debt, the proceeds could be invested, at a time when major investments are needed for the ecological transition and for competitiveness.

The idea is to endow a European sovereign wealth fund, with at least a substantial share of the wealth tax proceeds. Such funds are no longer the preserve of resource-rich states: China, Singapore, Australia and South Korea each run one worth more than 10% of their GDP, and Canada launched a national fund in 2026 financed by public debt. Worldwide, sovereign wealth funds manage assets worth close to 13% of global GDP, yet the European Union has no comparable fund. Sized at 5% of EU GDP, the levy would build up a fund whose assets would eventually reach about twice the common debt, so that its long-run dividends would exceed the interest owed several times over.

As the fund reinvests the proceeds rather than consuming them, the aggregate capital stock is preserved and ownership merely shifts from private to collective hands. This addresses a potential concern that investment would be reduced since taxation would divert resources away from productive investments (Section 4.3).

In fact, even without a fund, private investment is unlikely to be meaningfully affected. Most of the revenue (over 60% in the central scenario) comes from fortunes above EUR 10 million, whose owners hold liquid assets with which they can pay the tax. Should some of them need to pay out more dividends, leaving less retained profits in their companies, profitable projects could still be funded externally, as the companies they own are typically large and do not suffer from liquidity constraints. And where retained profits are needed to invest, owners can pay in shares rather than in cash: in listed shares at any time, and in unlisted shares when their liquid assets do not suffice (Section 1.3). Consistently, Ring (2026) finds that the Norwegian reforms of 2021–2024, which raised the top wealth tax rate by 0.25 percentage points and nearly doubled the effective marginal tax rate on business wealth, did not lead firms owned by taxpayers to invest less or to pay out more dividends.

The argument would hold even if the tax were implemented in a single country. As capital markets are integrated globally (or at least within the EU), payment in cash would not reduce investment in the taxing country, but in the world as a whole, through a slight rise in interest rates; while the option to pay in shares would preserve retained profits where they are needed for investment. Furthermore, if the State placed the

proceeds in a sovereign fund, its interest rates would fall as its assets increase, which would facilitate public investment.

We acknowledge that the tax might still lead to a small decrease in the funding of initial public offerings, of the order of EUR 1–3 billion per year, since venture capital relies on billionaires' money.

Ultimately, the use of the proceeds in a sovereign fund is optional. But it would allow *increasing* investment at a time when the EU needs it, and endow the public sector with a fund to finance strategic projects.

5.2 Governance and mandate of the fund

The proceeds would endow a European sovereign wealth fund under democratic control.[7] The fund's mandate would be threefold: to hold a broadly diversified portfolio of equities, so as to spread risk and secure a stable return; to steer the ecological transition; and to select strategic investments that strengthen Europe's future-preparedness. On the model of the recent Canadian national fund, the mandate would give priority to *primary* investments (initial public offerings, capital increases and other subscriptions of newly issued equity) in European companies with a strategic dimension or a sustainable project, so that the fund channels fresh capital into productive investment rather than mostly reallocating ownership of existing shares.

6 Possible variants

Several variants are compatible with the architecture above but are left for future work and not developed here: (i) converting the one-off levy into a *permanent* recurrent wealth tax; (ii) applying *higher rates* above EUR 100 million wealth, closer to the 2%–3% minimum-tax proposals of Zucman (2024); and (iii) pairing the wealth tax with a reform of *inheritance* and *capital gains taxation*, which reaches the same tax base at the point of transmission. Each of these would change the efficiency, legal and political properties of the instrument and deserves separate analysis.

[7] For example, its board would be appointed by the political groups of the European Parliament, each group naming board members and exercising a voting right proportional to its number of seats in the Parliament, so that the fund's direction reflects the Union's democratic balance rather than the discretion of a single executive.

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